Section Id :	64065382769
Section Number :	12
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	15
Number of Questions to be attempted :	15
Section Marks :	25
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653182003
Question Shuffling Allowed :	No

Question Number : 210 Question Id : 6406531175329 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406533960271. ✔ YES

6406533960272. ✖ NO

Sub-Section Number :	2
Sub-Section Id :	640653182004
Question Shuffling Allowed :	Yes

Question Number : 211 Question Id : 6406531175330 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

Quasi-linear preferences are non-linear in both the goods

Options :

6406533960273. ✖ TRUE

6406533960274. ✔ FALSE

Question Number : 212 Question Id : 6406531175331 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

Marginal utility changes for a monotonic transformation of the utility function

Options :

6406533960275. ✔ TRUE

6406533960276. ✖ FALSE

Question Number : 213 Question Id : 6406531175332 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

MRS changes for a monotonic transformation of utility function

Options :

6406533960277. ✖ TRUE

6406533960278. ✔ FALSE

Question Number : 214 Question Id : 6406531175333 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The fraction of quantity tax paid by buyers rises as supply becomes more own-price elastic

Options :

6406533960279. ✔ TRUE

6406533960280. ✖ FALSE

Question Number : 215 Question Id : 6406531175334 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The fraction of quantity tax paid by buyers rises as demand becomes more own-price elastic

Options :

6406533960281. ✖ TRUE

6406533960282. ✔ FALSE

Question Number : 216 Question Id : 6406531175335 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

A profit-maximizing monopoly will produce that output for which marginal cost equals marginal revenue

Options :

6406533960283. ✔ TRUE

6406533960284. ✖ FALSE

Question Number : 217 Question Id : 6406531175336 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

A natural monopoly occurs when one firm can supply the entire market more cheaply than can a number of firms

Options :

6406533960285. ✔ TRUE

6406533960286. ✖ FALSE

Question Number : 218 Question Id : 6406531175337 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

A monopolist always produces in the inelastic region of market demand curve

Options :

6406533960287. ✖ TRUE

6406533960288. ✔ FALSE

Sub-Section Number :	3
Sub-Section Id :	640653182005
Question Shuffling Allowed :	No

Question Id : 6406531175338 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (219 to 220)

Question Label : Comprehension

Consider the following game matrix where only the payoff of player 1 is given.

	L	R
T	1	0
M	2	0
B	2	1

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 219 Question Id : 6406531175339 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

M weakly dominates T

Options :

6406533960289. ✔ TRUE

6406533960290. ✖ FALSE

Question Number : 220 Question Id : 6406531175340 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

B weakly dominates M

Options :

6406533960291. ✔ TRUE

6406533960292. ✖ FALSE

Sub-Section Number :	4
Sub-Section Id :	640653182006
Question Shuffling Allowed :	No

Question Id : 6406531175356 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (221 to 222)

Question Label : Comprehension

After spending 10 years and $1.5 billion, you have finally gotten Food and Drug Administration (FDA) approval to sell your new patented wonder drug, which reduces the aches and pains associated with aging joints. You will market this drug under the brand name of Ageless. Market research indicates that the elasticity of demand for Ageless is 1.25 (at all points on the demand curve). You estimate the marginal cost of manufacturing and selling one additional dose of Ageless is $1.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 221 Question Id : 6406531175357 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is the profit-maximizing price per dose of Ageless (in $)?____________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

5

Question Number : 222 Question Id : 6406531175358 Question Type : MCQ
Correct Marks : 1
Question Label : Multiple Choice Question
Choose the correct alternative.
Options :
6406533960313. ✖ R&D costs are sunk costs so do not enter the pricing decision
6406533960314. ✖ The elasticity of demand you face for Ageless is going to rise when your patent expires as many close substitutes to Ageless would be available
6406533960315. ✔ Both R&D costs are sunk costs so do not enter the pricing decision and The elasticity of demand you face for Ageless is going to rise when your patent expires as many close substitutes to Ageless would be available
6406533960316. ✖ None

Question Id : 6406531175363 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix
Question Numbers : (223 to 224)
Question Label : Comprehension
The employment of teaching assistants (TAs) by major universities can be characterized as a monopsony. Suppose the demand for TAs is ***W = 30,000 – 125n***, where ***W*** is the wage (as an annual salary), and ***n*** is the number of TAs hired. The supply of TAs is given by ***W = 1000+ 75n***.

Based on the above data, answer the given subquestions.
Sub questions

Question Number : 223 Question Id : 6406531175364 Question Type : MCQ
Correct Marks : 1
Question Label : Multiple Choice Question
How many TAs will the university hire as a monopsonist
Options :
6406533960329. ✔ 105
6406533960330. ✖ 120
6406533960331. ✖ 125
6406533960332. ✖ 115

Question Number : 224 Question Id : 6406531175365 Question Type : MCQ
Correct Marks : 1
Question Label : Multiple Choice Question
What wage will it pay to a TA
Options :

6406533960333. ✖ 8632

6406533960334. ✔ 8875

6406533960335. ✖ 7868

6406533960336. ✖ 9146

Sub-Section Number : 5

Sub-Section Id : 640653182007

Question Shuffling Allowed : No

Question Id : 6406531175359 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (225 to 227)

Question Label : Comprehension

Suppose that a competitive firm's marginal cost of producing output q is given by $MC(q) = 3 + 2q$. Assume that the market price of the firm's product is ₹9.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 225 Question Id : 6406531175360 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What level of output (q) the firm will produce?

Options :

6406533960317. ✖ 2

6406533960318. ✔ 3

6406533960319. ✖ 4

6406533960320. ✖ 5

Question Number : 226 Question Id : 6406531175361 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Producer surplus of the firm is

Options :

6406533960321. ✖ 7

6406533960322. ✖ 8

6406533960323. ✔ 9

6406533960324. ✖ 6

Question Number : 227 Question Id : 6406531175362 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Suppose the average variable cost of the firm is given by $AVC(q) = 3 + q$ and firm's fixed costs are known to be ₹3, the firm be earning

Options :

6406533960325. ✔ Positive economic profit

6406533960326. ✖ Negative economic profit

6406533960327. ✖ Zero economic profit

6406533960328. ✖ Cannot say

Sub-Section Number :	6
Sub-Section Id :	640653182008
Question Shuffling Allowed :	No

Question Id : 6406531175341 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (228 to 231)

Question Label : Comprehension

Narendra is considering his purchases of food (***x***) and clothing (***y***). He has the utility function ***U(x, y)= xy + 10x***. His income is *I = $10*. He faces a price of food *Px = $1* and a price of clothing *Py = $2*.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 228 Question Id : 6406531175342 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct alternative

Options :

6406533960293. ✖ Marginal utility of x is independent of x

6406533960294. ✖ Marginal utility of y is independent of y

6406533960295. ✔ Both Marginal utility of x is independent of x and Marginal utility of y is independent of y

6406533960296. ✖ None

Question Number : 229 Question Id : 6406531175343 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is true about the optimal bundle of Narendra

Options :

6406533960297. ✖ The optimal bundle lies in interior

6406533960298. ✖ The optimal bundle lies on Y-axis

6406533960299. ✖ Budget line is a tangent to Narendra's indifference curve at optimal bundle

6406533960300. ✔ None

Question Number : 230 Question Id : 6406531175344 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Optimal quantity of food is x*=____________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

10

Question Number : 231 Question Id : 6406531175345 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Optimal quantity of clothing is y*=____________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

0

Sub-Section Number :	7
Sub-Section Id :	640653182009
Question Shuffling Allowed :	No

Question Id : 6406531175346 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (232 to 240)

Question Label : Comprehension

The demand and supply curves in a market for cigarettes are

$$Demand: P = 10 - Q$$
$$Supply: P = Q - 4$$

where Q is the quantity in thousands of units and P is the price in rupees per unit. Suppose, the government imposes a tax of INR 1 per unit to reduce the consumption of cigarettes and raise government revenue.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 232 Question Id : 6406531175347 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Equilibrium quantity of cigarettes in the market before the incidence of tax will be Q^*=_____________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Text Areas : PlainText

Possible Answers :

7

7000

Question Number : 233 Question Id : 6406531175348 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Equilibrium price of cigarettes in the market before the incidence of tax will be P^*=_____________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

3

Question Number : 234 Question Id : 6406531175349 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

New equilibrium quantity after the incidence of tax Q^t= _______________

Response Type : Numeric

Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Set
Text Areas : PlainText
Possible Answers :

6.5

6500

Question Number : 235 Question Id : 6406531175350 Question Type : SA
Correct Marks : 1
Question Label : Short Answer Question
Price that buyers pay now will be P^B =___________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :

3.5

Question Number : 236 Question Id : 6406531175351 Question Type : SA
Correct Marks : 1
Question Label : Short Answer Question
Price that seller receives per unit will be P^S = ________________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :

2.5

Question Number : 237 Question Id : 6406531175352 Question Type : SA
Correct Marks : 1
Question Label : Short Answer Question
Suppose, the government acts weird and removes the tax to provide a subsidy of INR 1 per unit to cigarette producers.

New equilibrium quantity after the incidence of subsidy Q^S= ____________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes

Answers Type : Set
Text Areas : PlainText
Possible Answers :

7.5

7500

Question Number : 238 Question Id : 6406531175353 Question Type : SA
Correct Marks : 1
Question Label : Short Answer Question
Suppose, the government acts weird and removes the tax to provide a subsidy of INR 1 per unit to cigarette producers.

Price that buyers pay now will be P^B= _______________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :

2.5

Question Number : 239 Question Id : 6406531175354 Question Type : SA
Correct Marks : 1
Question Label : Short Answer Question
Suppose, the government acts weird and removes the tax to provide a subsidy of INR 1 per unit to cigarette producers.

Price that seller receives per unit (including subsidy) will be P^S= _____________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :

3.5

Question Number : 240 Question Id : 6406531175355 Question Type : SA
Correct Marks : 1
Question Label : Short Answer Question
Suppose, the government acts weird and removes the tax to provide a subsidy of INR 1 per unit to cigarette producers.